

Returns and payment of GST [¶32-073]

[¶32-073]

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Returns must be made by a registered person on a regular basis. The amount of tax payable by the registered person (or refundable by IR) for a specific period is set out in the return. The period covered in the return is called the “taxable period” ([¶32-090](#)).

Filing and due dates

Returns must be filed and GST paid by the following dates:

- # the 15th day of January, if the month following the end of the taxable period is December
- # the 7th day of May, if the month following the end of the taxable period is April, or
- # in all other cases, the 28th day of the month following the end of the taxable period.

For a discussion of when tax payments are received, see standard practice statement, [SPS 20/04](#), “Tax payments — when received in time” ([¶2-115](#)).

Interest and late payment penalties are added to late payments. Interest is payable by the Commissioner if refunds for taxable periods are not paid promptly ([¶14-200](#)). Regarding late filing penalties, see [¶32-223](#).

Note that a provision allows for the setting of a taxable supplies threshold above which GST-registered persons will be required to file their GST return with IR electronically in a prescribed format. The threshold will be set separately by Order in Council, but this has not occurred yet. See further at [¶2-019](#). A non-electronic filing penalty will also apply ([¶14-045](#)).

Self-assessment

A feature of the GST system is that the tax is essentially self-assessed. GST is to be paid to (or refunded by) IR in accordance with information supplied in a furnished return. Under s [92B](#) of the TAA, a registered person is required to make an assessment of the GST payable by them for the return period and the assessment is made on the date on which the taxpayer’s return is received at the office of IR.

The self-assessment provision also applies to any person required to provide a special return under s [17](#) or a return under s [19B](#) of the GST Act for a change in accounting basis.

The self-assessment provision does not apply to a taxpayer for a GST return period if IR has made an assessment of the GST payable by the taxpayer for the return period (s [92B\(3\)](#) of the TAA).

The Commissioner will only intervene in limited situations, such as where a return is not forthcoming or where the Commissioner is dissatisfied with a furnished return (s [106\(1D\)](#) of the TAA).

Law: GST ss [15](#), [16](#), [23](#); TAA ss [36BD](#), [40\(3\)](#), [92B](#)

Last reviewed on 31 December 2025

Correcting errors in GST returns [¶32-074]

[¶32-074]

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If a person's GST return contains one or more errors and the total tax discrepancy caused by the error or errors is \$1,000 or less per return or the error or errors are not material for the person, the person is allowed to rectify the error or errors in the next return due after discovering them (s [113A](#) of the TAA).

The maximum tax discrepancy amount of \$1,000 applies to the return in which the error or errors were originally made, not to the return in which the error or errors are corrected. Tax discrepancies caused by errors in different return periods cannot be averaged to fit within the \$1,000 limit. However, if the discrepancy caused exceeds the \$1,000 limit, the person may still rectify the error or errors in a subsequent GST return if, for that person, the error or errors are not material errors. For these purposes, the error or errors are not material if the total tax discrepancy caused by the error or errors in the return is equal to or less than the lower of \$10,000 and 2% of the person's GST output tax. However, note that a person will not be able to correct the error or errors if they have applied the materiality threshold for the main purpose of delaying the payment of tax (s [113A\(5\)](#) of the TAA).

Example: Correction of immaterial errors

Bary's Brownies and Liquorice Rolls Ltd (BBLR Ltd) sells confectionaries in its 35 stores throughout New Zealand. Its GST returns are filed on a 2-monthly basis. BBLR Ltd realises it made an error in its GST return for the period ending 30 September 2019 when one of the stores sends additional information about its sales to the head office in early November 2019. The amount of sales not recorded in the GST return was \$8,000. This resulted in an understatement of the business's taxable supplies of \$8,000 and a tax discrepancy in the assessment of \$1,200 (that is, \$8,000 × 15%).

BBLR Ltd cannot rely on s [113A\(1\)](#) to correct the error in the GST return for the period ending 30 November 2019. This is because the tax discrepancy caused by the error is more than \$1,000. To determine whether BBLR Ltd can correct the error in the next return due, it needs to determine whether the error is a material error for the purposes of s [113A](#).

The total taxable supplies in BBLR Ltd's GST return for the period ending 30 September 2019 was \$450,000. The amount of the tax discrepancy in the assessment resulting from not including the \$8,000 worth of supplies from one of its stores is \$1,200. The amount of the error is less than both \$10,000 and 2% of BBLR Ltd's output tax payable for the period. This means BBLR Ltd can correct the error by including the missed sales in the following GST return for the period ending 30 November 2019. It does not need to notify Inland Revenue that the sales relate to an earlier period in the return.

If a subsequent error is later discovered that also meets the criteria of being less than both \$10,000 and 2% of the output tax payable for the period, that error or errors can also be corrected in the next return due following discovery of that error or errors.

Example adapted from *Tax Information Bulletin* [¶314-102 Vol 31, No 4](#), May 2019 at 66.

If the error or errors exceed the above thresholds, the registered person must correct the errors either by requesting the Commissioner exercise their discretion to amend an assessment under s [113](#) of the TAA or through the disputes resolution process. See also [¶2-112](#) for further discussion.

Law: TAA ss [113](#), [113A](#)

Last reviewed on 31 December 2025

Calculation of GST payable [¶32-075]

[¶32-075]

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The GST Act prescribes the method of calculating tax payable to (or refundable by) the Commissioner for a taxable period. Generally, tax payable or refundable is the total amount of “output tax” (tax on supplies made) less the total amount of “input tax” (tax on supplies received) and other allowable deductions and adjustments. If the result is positive, GST is payable. If the result is negative, the taxpayer should be entitled to a refund of GST.

Until 31 March 2023, a deduction for input tax could not be made unless the registered person held a tax invoice, a debit note or a credit note for the supply. For taxable periods starting on or after 1 April 2023, see [¶32-151](#) for the rules relating to taxable supply information.

It is possible for a deduction for input tax to be claimed in a later period once the documentation is obtained and to the extent that a deduction has not previously been made. Normally, there is a 2-year time limit to make an input tax deduction for a particular taxable period in a later period ([¶32-021](#)).

If a registered person’s return shows that the registered person neither owes GST nor is in a refund situation, the completed form must still be forwarded to IR.

Law: GST s [20](#)

Last reviewed on 31 December 2025

Methods of accounting for GST [¶32-078]

[¶32-078]

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Three methods are used to account for GST: the invoice (or accruals) basis, the payments (or cash) basis, and the hybrid basis. The method adopted determines *when* output tax and input tax are taken into account for calculating tax payable. Note from 1 April 2024, an optional accounting rule for taxable accommodation supplied through electronic marketplace applies (s [19DB](#) and [¶32-640](#)).

Invoice basis

Generally, tax must be accounted for on an invoice basis. Application must be made to the Commissioner for adoption of the hybrid basis. Only certain persons are able to use the payments basis.

Payments basis

Eligibility to adopt the payments basis is limited to:

- # non-profit bodies
- # non-residents
- # persons whose total value of taxable supplies (excluding GST) has not exceeded \$2 million in the preceding 12 months or is not likely to exceed \$2 million in the following 12 months, and
- # persons who satisfy the Commissioner that it would be appropriate for them to use the payments basis because of the nature, volume and value of their taxable supplies and the nature of their accounting system.

Application to furnish GST returns on a payments basis should be made when applying to be registered. Upon receipt of application for registration, the Commissioner *may* direct a person to use the payments basis. The “value of supplies” made determines whether a person exceeds the \$2 million threshold. The \$2 million threshold is aggregated in the case of companies which are group registered and where branches and divisions are separately registered.

A person who accounts for tax on a payments basis must give the Commissioner written notice within 21 days of ceasing to satisfy the relevant conditions (s [53\(1\)](#)). Failure to so notify constitutes an absolute liability offence under s [143](#) of the TAA. If the Commissioner is satisfied that a registered person has ceased to satisfy the necessary conditions, whether or not on application by the registered person, the Commissioner is required to direct that the registered person account for GST payable on an invoice basis or, if the registered person requests, on a hybrid basis. A person cannot, however, be deemed to exceed the threshold criteria because of sales resulting from the scaling down or cessation of the taxable activity or the replacement of any plant or capital asset.

It is mandatory for a non-resident person registered under s [54B](#) to use the payments basis.

Deferred settlements

Taxpayers (other than certain non-profit bodies) who are registered for GST on a payments basis and who supply property for more than \$225,000 (including GST) that is subject to a long settlement (ie more than one year) must account for GST on an invoice basis: s [19D](#). See also [¶32-280](#) and [¶32-500](#).

Hybrid basis

A registered person may make application to the Commissioner to account for GST on a hybrid basis (ie a person would deduct input tax on a payments basis and account for output tax on an invoice basis) if that person meets the payments basis requirements.

Change in accounting basis

A person can apply to change from one accounting basis to another. A person using the hybrid or payments basis may make application to change to any of the 3 accounting bases: invoice, hybrid or payments (provided the payments basis requirements are met). It is within the Commissioner's discretion to accept such an application. The Commissioner may initiate a change from the payments basis to an invoice basis if they are notified that the person has ceased to satisfy the eligibility criteria for the payments basis or if they are otherwise satisfied that this is the case.

Briefly, when a taxpayer changes accounting basis, the taxpayer must furnish to the Commissioner, in the prescribed form:

- # a list of creditors (change from invoice to hybrid or vice versa), or
- # a list of debtors (change from payments to hybrid or vice versa), or
- # a list of creditors and debtors (change from invoice to payments or vice versa),

as at the last day of the taxable period immediately before that in which the new accounting basis takes effect.

Also, a calculation must be made of the GST due as a result of the change in accounting basis. The calculation is made in accordance with the formula set out in s [19C](#).

The particulars must be provided and any GST due paid to the Commissioner by the 28th day of the month following the end of the taxable period (or 15 January for 30 November taxable periods and 7 May for 31 March taxable periods).

A taxpayer who has a change in accounting basis is also required to furnish a self-assessment of GST.

Note that s [19\(3B\)](#) provides that a liquidator, receiver or administrator of a registered person cannot apply to change the person's accounting basis from a payments basis to an invoice basis.

Law: GST ss [19](#), [19A](#), [19B](#), [19C](#), [19D](#), [19DB](#), [53\(1\)](#); TAA s [143](#)

Last reviewed on 31 December 2025

Significance of accounting method adopted for GST [¶32-080]

[¶32-080]

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The accounting method adopted for GST will determine when output and input tax is taken into account for return purposes.

If the invoice basis is used, tax is brought to account for the taxable period in which the supply is deemed to be made. In most instances, this will be the earlier of the time an invoice is issued and the time any payment is made. If an invoice is issued first, the person must account for tax in that taxable period even though the person may not have paid or received the relevant GST amount.

If the payments basis is adopted, tax is generally brought to account only when, and to the extent that, payment is made. For example, if an invoice is issued for a supply in February, but payment is not made until July, tax will usually be accounted for in the taxable period applicable to the July payment.

If the hybrid basis is used, output tax is brought to account on an invoice basis and input tax is accounted for on a payments basis. Consequently, output tax is brought to account for the return period in which the supply is deemed to be made. In most instances, this will be the earlier of the time an invoice is issued or any payment is made. Input tax in general is brought to account only when and to the extent that payment is made.

Last reviewed on 31 December 2025

Selecting an accounting method for GST [¶32-085]

[¶32-085]

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Those persons who are eligible to account for tax on a payments basis effectively have an option as to which accounting basis to adopt. In this regard, a person would generally tend towards use of the invoice basis if purchasing predominantly on credit. Here the person will receive an invoice for a supply but will not pay for the supply until later. Accordingly, the person may be entitled to deduct input tax before actually paying it. Conversely, it might be disadvantageous to adopt the invoice basis if the person sells on credit. Here, the majority of sales require an invoice to be sent out, with resulting delays in payment. The person would be required to pay the Commissioner GST in the taxable period in which the invoice was issued but they might not be reimbursed for that cost for some time. If a payments basis was used, the person would generally not have to account for GST until they actually received payments.

The hybrid basis of accounting should reduce any compliance costs associated with the requirement to maintain a creditor ledger to calculate input tax on an invoice basis. However, the adoption of a hybrid basis could result in cash-flow disadvantages. Under this basis, the registered person is generally unable to claim input tax upon receipt of an invoice but is required to return output tax upon the issue of an invoice or any earlier receipt of payment. The extent to which a person purchases on a credit basis and sells on a credit basis is, therefore, a significant factor in the selection of which accounting basis to adopt for GST purposes.

A further factor to consider when deciding which accounting basis to adopt is the level of late filing penalties that might be imposed if returns are filed late more than once in any 12-month period. Taxpayers on an invoice and hybrid basis pay higher penalties. For further discussion, see [¶32-223](#).

Last reviewed on 31 December 2025

Grouping for GST [¶32-086]

[¶32-086]

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The GST group registration rules allow a group of related entities to be treated as a single entity for GST purposes. Once the entities are grouped, a representative member is responsible for most compliance matters and is deemed to carry on all the taxable activities of the group members. Supplies made or received by a group member are treated as made or received by the representative member. Taxable supplies between group members may be ignored. In this way, the GST creates a statutory fiction — something is treated as having been done by one person (the representative member), when in fact it has been done by another (the group member).

Who can group for GST?

Interpretation statement [IS 24/03](#), “GST – Who can group register?” covers companies with common ownership, grouping where one taxpayer is not a company and grouping in relation to non-residents. The statement is detailed and contains varied examples. Below is a summary of the key points:

Groups of companies

Two or more companies can group register if they are a “group of companies” or part of a “group of companies” under s [IC 3](#) of the IT07. This requires that a “group of persons” holds 66% common ownership interests in the companies. Points to note:

- # For GST purposes, look-through companies, multi-rate portfolio investment entities (PIEs) and listed PIEs can be members of a group of companies under s [55\(1\)](#) if they meet the 66% common ownership interests test.
- # Companies that are not GST-registered can be members of GST groups of companies provided the group meets a “75% taxable supplies” test.
- # Non-resident companies can be members of GST groups of companies (subject to the restrictions for non-residents registered under s [54B](#)).

Note that if company shares are held on care trust, the shares are treated as if they are held by the beneficiary of the bare trust for the purposes of s [IC 3](#).

Mixed groups

The requirements for grouping under s [55\(8\)](#) are as follows:

- # there is a group of 2 or more “registered persons”
- # at least one of the persons is not a company (or is a company but is a limited partnership), and
- # the Commissioner is satisfied that one person in the GST group controls each of the other members of the group, or one person outside the GST group controls all of members of the group, or a partnership controls all the members of the group.

“Control” means legal control and will differ depending on the entity involved. For example, in a company, legal control will be the shareholder holding a majority of shares; for a trust, this may be the trustees or the person having the power of appointment. See below for further discussion on trusts and grouping for GST.

Intra-group supplies

Section [55\(1AC\)](#) to [\(1AI\)](#) provides taxable supplies made in New Zealand between members of the GST group are disregarded in the preparation of the group GST return for each taxable period. An exception to this rule is for a supply of services that is treated by s [8\(4B\)](#) as being made in New Zealand. Section [55\(1AF\)](#) has been amended and effective from 30 March 2025, a non-taxable supply by a non-registered GST group

member is treated as a supply by the representative member as a registered person and is therefore a taxable supply.

Grouping non-residents registered under s 54B

Non-residents may be required to register for GST under the general registration provision (s 51), or can register voluntarily. [Interpretation statement 24/03](#), “GST — Who can group register?” states the following:

- # non-residents must be registered under s 54B
- # non-residents registered under s 54B cannot group register with New Zealand residents
- # non-residents registered under s 54B can only group register with other non-residents.

In practice, the Commissioner will only allow a s 54B registered person to be the representative member of a GST group if all members of the group are s 54B registered persons.

The “75% taxable supplies test”

This test requires the companies in the group, over a 12-month period (including the current time when determining if the test is met) make at least 75% taxable supplies (as a percentage by value of their taxable and other supplies) to persons outside the eligibility group (see Example 1 in [IS 24/03](#)). “Taxable supplies” includes supplies that would be treated as “taxable supplies” if a registered person had made them.

Trusts and grouping for GST

[IS 24/03](#) replaces [QB: GST Group Registration of Trusts](#). Legal control of a trust lies with the trustee(s) in their capacity as trustee of that specific trust. Due to the different capacity in which trusteeship is held, the same trustee(s) cannot usually group with each other. Put another way, the trustee of one trust is treated as a different “person” from the same trustee acting in their capacity as trustee of another trust. The general rule about who controls the trust may differ if there is another person who has the power to appoint and remove trustees (an Appointer). The Commissioner considers that the person holding the power to appoint and remove trustees controls the trust.

Further detailed discussion can be found at [70] of [IS 24/03](#) onwards. The statement covers the standard position in relation to trusts, the exception to the standard position and the test applied to special purpose corporate trustees of post-settlement governance entities.

Control test for mixed groups

As GST grouping hinges on the control test, determination of who controls a mixed group is imperative. Below is a summary of various types of registered persons and the legal control test.

Person	Comments
An individual (eg a sole trader)	An individual acting in their individual capacity (eg as a sole trader) is registered for GST in this capacity. The question of control does not arise for an individual who is registered for GST in their individual capacity. If an individual becomes incapacitated (including on death or bankruptcy), a specified agent may be appointed under s 58. The appointment of a specified agent does not affect GST grouping (s 55(4A)).
A “company” as defined in s 2, excluding a limited partnership. For example, it may be: #a company incorporated under the Companies Act 1993 ,	A person has legal control of a company (or multi-rate PIE or listed PIE) if they hold more than 50% of the ownership interests. At least one member of the group must be a non-company or a limited partnership.

#a look-through company, #a multi-rate PIE or listed PIE that is established as a body corporate, or #a foreign company. A multi-rate PIE or a listed PIE that is not established as a body corporate, but is a “company” as defined in s YA 1 of the Income Tax Act 2007.	
A trust	The general rule is that the trustee or trustees have legal control of a trust and so “control” the trust in their capacity as trustee(s) of that trust. Despite the above, the Commissioner considers that the following person(s) have legal control of the trust (where they exist): #a person with the power under the trust deed to appoint and remove trustees, or #two or more persons carrying on a taxable activity in partnership who jointly hold the power under the trust deed to appoint and remove trustees.
A partnership	Under s 51 of the Partnership Law Act 2019, a majority of the partners generally exercise legal control of a partnership. Where a majority of the partners exercise legal control, there will be no “one person” that controls the partnership. However, where all partners have consented to one partner making decisions about ordinary matters connected with the partnership business, that partner will have legal control of the partnership.
A limited partnership	The general rule is that a partner “controls” the limited partnership if they can make resolutions of the limited partnership without the support of the other partners. Under a standard limited partnership agreement, a partner will be able to do so if they have contributed at least 75% of the partnership capital. If there are multiple limited partners (or two 50% limited partners), there may be no “one person” that controls the limited partnership. In a limited number of cases, legal control may be determined by referring to the partners’ respective partnership interests.
A joint venture	The general approach to determining legal control of a joint venture is by referring to the respective interests of the joint venture partners in the joint venture. In most cases it will be sufficient to refer to the voting powers of the joint venturers contained in the joint venture agreement. If the joint venture agreement requires decisions to be made unanimously, this approach will establish that no “one person” controls the joint venture. In some cases, where voting powers do not accurately reflect legal control of the joint venture, it may be necessary to adopt an alternative approach of referring to the profit-sharing arrangements and the joint venturers’ respective capital contributions.

Consequences of grouping

Interpretation statement [IS 24/02](#), "GST Grouping for Companies" explains the consequences of GST grouping. The statement has examples of how the GST grouping rules apply to a range of situations. The consequences of GST grouping for companies are summarised as follows:

- # the representative member is treated as carrying on all group members' activities, as a registered person
- # taxable supplies made by group members to persons outside the GST group are treated as taxable supplies made by the representative member, as a registered person
- # taxable supplies made to group members from persons outside the GST group are treated as taxable supplies made to the representative member
- # taxable supplies between group members are mainly disregarded
- # non-taxable supplies made by or to group members are treated as made by or to the representative member
- # intra-group non-taxable supplies are not disregarded
- # the representative member claims all input tax deductions
- # the representative member makes all input tax adjustments where there is a change in the use of goods or services that were acquired by group members.

Under the GST grouping rules, most supplies made by group members to persons outside the GST group are treated as made by the representative member, as a taxable person. The statement notes this can have significant implications for the treatment of a supply. For example:

- # if a non-registered company is part of a GST group and makes supplies to persons outside the GST group, those supplies will be treated as being made by a registered person and therefore GST is charged, and
- # if a non-resident company is part of a GST group and the representative member is a New Zealand resident, supplies made by that non-resident company are treated as being made from New Zealand.

Law: GST ss [55\(1\)](#), [\(8\)](#), [55\(1AC\)](#) to [\(1AI\)](#), [54B](#)

Last reviewed on 31 December 2025

GST apportionment rules for mixed use of goods and services [¶32-088]

[¶32-088]

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Note: The mixed-use asset rules for GST are repealed from 1 April 2024. The repeal of ss [20\(3JB\)](#) and [20G](#) has effect from the registered person's first adjustment period beginning on or after 1 April 2024. The general GST apportionment rules apply after this date, which require a fair and reasonable apportionment method ([¶32-022](#)).

Background

The change-in-use adjustment provisions that deal with the mixed use of goods and services were replaced with an approach that reflects their relative use and apportions related input tax deductions. The reform of the principal purpose test for input tax required a corresponding change in the adjustment provisions.

The apportionment rules apply where goods or services are used for a mix of private/exempt and business purposes. Section [20](#) contains apportionment rules for calculating amounts of tax payable.

Sections [21](#)–[21H](#) provide detailed provisions for making adjustments under the apportionment rules, including transitional provisions.

IR provided a comprehensive example of the operation of the apportionment rules in *Tax Information Bulletin* [¶231-111 Vol 23, No 1](#), February 2011 at 34.

Adjustments for goods and services acquired before 1 April 2011

Section [21H](#) is a transitional provision that specifies which rules — the former change-in-use adjustment rules or the apportionment rules — should be used for goods and services acquired before the date of introduction of the apportionment rules on 1 April 2011. Generally, goods or services acquired before 1 April 2011 continued to apply the former change-in-use adjustment rules, subject to the “sunset” concessions that prevented adjustments being made after a certain date (the latest being 1 April 2016).

The exception to the general rule is when no adjustment was made or was required to be made under the former change-in-use adjustment rules before 1 April 2011 for goods or services other than those referred to in s [21HB](#) (transitional rule relating to the treatment of dwellings). In that case, if input tax was deducted or supplies were zero-rated at the time of purchase, the former change-in-use adjustment rules applied to the supplies. If a person has not deducted any input tax for the goods or services, they should apply the apportionment rules (s [21H\(2B\)](#)). If applying the apportionment rules, the first adjustment period is treated as starting on the date of acquisition of the goods or services and ending on the first balance date falling after the later of the date they were first used for making taxable supplies and the date the person became a registered person (s [21H\(2C\)](#)). Subsections [21H\(2B\)](#) and [\(2C\)](#) were introduced with retrospective effect to 1 April 2011. However, a savings provision allowed taxpayers who had already applied either the former change-in-use adjustment rules or the apportionment rules before the amendments were introduced on 14 September 2011 to continue with their chosen treatment.

Apportionment at the time of acquisition — s 20(3C)–(3JB)

The apportionment required at the time of acquisition is fully discussed at [¶32-022](#). In brief, a GST-registered person may claim an input tax deduction on acquisition of goods and services based on the extent to which the goods or services are intended to be used or are available to be used in making taxable supplies (s [20\(3C\)](#)). The rules attempt to achieve as much accuracy as possible at acquisition by requiring taxpayers

to make fair and reasonable estimates on the intended taxable and non-taxable uses of goods and services acquired. There are also special rules for associated parties, land, financial services providers, non-profit bodies, registered non-residents and mixed-use assets under the IT07.

However, taxpayers might have to make further adjustments in later periods if the actual taxable use subsequently varies from the intended taxable use.

Note that s [20\(3JB\)](#) relating to special apportionment rules for supplies of mixed-use assets was repealed effective 1 April 2024. The repealed apportionment rules related to supplies of assets described in s [DG 3](#) of the IT07. For a GST-registered person who makes such supplies, the general apportionment rules apply from the adjustment period starting on or after 1 April 2024.

Alternative methods

Certain businesses may apply alternative methods of apportioning and making adjustments to input tax deductions. This is intended to address the high compliance costs that some businesses, such as retirement villages, have experienced in applying the apportionment and later adjustment approach previously legislated.

Sections [20\(3EB\)](#) and [21\(4B\)](#) allow a registered person to use an agreed alternative method of apportionment and adjustment. Amendments to s [21\(2\)](#) clarified that if a registered person agrees an adjustment method with IR under s [21\(4\)](#) or [21\(4B\)](#), the agreed method overrides the limitations on making adjustments under s [21\(2\)](#).

The following persons may agree an alternative method with the Commissioner:

- # before 30 March 2022, businesses with a turnover exceeding or expected to exceed \$24 million in a 12-month period
- # from 30 March 2022, the registered person (the turnover threshold limit is removed), and
- # industry associations.

A registered person will agree a method with the Commissioner for their own activities. Industry associations will agree methods that could be applied by persons in that industry. The Commissioner and the association will have to agree the persons or class of persons that are eligible to apply the method.

While a list of factors that an agreed method must take into account is not provided, IR expects agreements would usually contain information such as the following (*Tax Information Bulletin* [1295-106](#) Vol 29, No 5, June 2017 at 78):

- # all relevant business activities of the applicant
- # the methodology proposed (eg calculation based on turnover, floor space, time spent, number of transactions or cost allocations)
- # an explanation of why the proposed methodology is fair and reasonable, and how it reflects the outcomes that could be reached under the apportionment rules
- # categories of costs that can be directly attributed to either taxable or non-taxable supplies, and categories of costs that relate to both taxable and non-taxable supplies
- # the methodology proposed for significant one-off acquisitions such as land
- # the method by which disposals of assets will be dealt with (eg what input tax adjustments will be made)
- # any adjustments that will be made in relation to goods and services that have already been acquired, including those that are subject to the current apportionment rules, transitional rules or old apportionment rules
- # details of any proposed variations to the minimum number of adjustment periods for which adjustments will be made, and
- # details of any proposed variations to the period in which adjustments will be returned.

Annual adjustments required — ss 21(1)–(3), 21A

On an annual basis, a registered person must identify and compare the percentage actual taxable use of the goods and services with the intended use or previous actual use. If a percentage difference arises, an adjustment for the difference must be made (ss [21\(1\)](#) and [21A](#)).

Adjustments are required to be made at the end of an adjustment period if the (GST-exclusive) value of the goods or services is more than \$10,000 (s [21\(2\)](#), [\(3\)](#)). An adjustment for such commodities is only required if:

- (i) the difference between the intended use on acquisition and the actual percentage use for the relevant adjustment period is 10 percentage points or more, or is a lesser percentage and the resulting adjustment is more than \$1,000, or
- (ii) (if paragraph (i) has previously been actioned) the difference between the use calculated when making an earlier adjustment and the actual use for the present adjustment period is 10 percentage points or more, or is a lesser percentage and the resulting adjustment is more than \$1,000.

No adjustment is permitted in other circumstances. For example, no adjustment can be made where the value of the pertinent goods or services is \$10,000 or less (GST exclusive). Similarly, if the change in use is both less than a 10 percentage point variance and amounts to a \$1,000 or less adjustment.

The “percentage point” reference means the difference between the 2 percentage figures. For example, if the intended figure was 45% but the actual use proves to be 56%, the “percentage point” difference is 11%.

The adjustment is calculated as a percentage of what would have been a full input tax credit. Two straightforward examples best illustrate this proposition.

Example:

A GST-registered person purchases an item for \$133,334 plus \$20,000 GST.

The intended use is 75% taxable/25% non-taxable.

Input tax deducted on acquisition is therefore \$15,000 ($\$20,000 \times 75\%$).

Actual use for the first adjustment period is 60%.

The adjustment calculation is:

$75\% \# 60\% = 15\% \text{ lesser taxable use} \times \$20,000 = \$3,000$.

The \$3,000 is therefore the output tax adjustment for the GST return period.

Example:

As per example 1 above, but the actual use for the first adjustment period is 82%.

The adjustment calculation is:

$75\% \# 82\% = 7\% \text{ increased taxable use} \times \$20,000 = \$1,400$.

The increased taxable use therefore generates a \$1,400 deduction adjustment to be included in the GST return for the adjustment period.

Section [21\(2\)\(ab\)](#) also prevents a non-resident from making an adjustment when they incur GST under s [12\(1\)](#) on the importation of goods and then subsequently re-export the goods. This allows the non-resident to retain the claimed input tax credit.

Section [21G\(1B\)](#) was inserted to amend the definition of “percentage actual use” to allow supplies made outside New Zealand by non-residents to qualify as actual use. The amendment is effective on 1 April 2020 to align with GST positions previously taken by the affected non-resident businesses.

From 30 March 2022, a person is not required to make further annual adjustments if they have performed a wash up calculation after a change of use in the item (see below for commentary on s [21 FB](#)) and there has been no further change in use (s [21\(2\)\(ac\)](#)). If there is a subsequent change in use, then adjustments will be required again.

Example:

Kevin is a GST-registered electrician who acquires a van in February 2022. In his first adjustment period since acquiring the van, Kevin uses the van 70% for business purposes and 30% for private use. In March 2022, Kevin purchases a car for his private use and changes the use of the van so that it is exclusively used in his electrical business (100% taxable use) for the next 2 consecutive adjustment periods between 1 April 2022 and 31 March 2024. At the end of these 2 adjustment periods, Kevin performs a wash-up calculation under s [21FB](#) to claim an additional input tax deduction in his next GST return to reflect his 100% taxable use of the van. Section [21\(2\)\(ac\)](#) applies, so Kevin does not make any annual adjustments for his use of the van during the next 2 adjustment periods between 1 April 2024 and 31 March 2026, as the van remains having 100% taxable use for these periods.

Kevin sells his car in April 2026 and changes his use of the van to 75% business and 25% for private use. Section [21\(2\)\(ac\)](#) no longer applies, and Kevin is required to make an adjustment at the end of his next adjustment period to pay output tax in his GST return to reflect his 25% private use of the van.

Frequency — ss 21A(b), 21C, 21G(3)

The adjustment must be ascertained and calculated annually. The first calculation is to be made either on the first or second income tax balance date following acquisition (at the choice of the registered person). For example, where a person has a 31 March balance date and purchases an item in April 2012, the adjustment calculation can be made for the GST return for either March 2013 or March 2014 at the person's option.

The calculation exercise must be repeated for each subsequent income tax balance date to ascertain if the 10%/\$1,000 thresholds are breached. If a percentage difference arises and the exemptions in s [21\(2\)\(c\)](#) do not apply, an adjustment must be made for any percentage difference. The calculation is made as at the last day of the relevant adjustment period.

In the event that a person alters their income tax balance date, the GST adjustment period is correspondingly adjusted. However, if that has the effect of shortening the period to less than 12 months, then the adjustment period is extended to the balance date of the following year (s [21G\(3\)](#)).

Number of adjustments — s 21G(4)

There is a limit on the number of adjustments. However, the limit does not apply to land, that is, land is subject to ongoing adjustments for the entire period of ownership.

The limit for other commodities is either:

- (a) one of the following based on the (GST-exclusive) value of the commodity:
 - (i) 2 adjustment periods for commodities valued at more than \$10,000 but not more than \$20,000 (before 1 April 2023, for commodities valued at more than \$5,000 but not more than \$10,000)
 - (ii) 5 adjustment periods for commodities valued at more than \$20,000 but not more than \$500,000 (before 1 April 2023, for commodities valued at more than \$10,000 but not more than \$500,000)
 - (iii) 10 adjustment periods for land, or goods and services valued at more than \$500,000 (before 1 April 2023, for commodities valued at more than \$500,000), or
- (b) the number of years of the estimated useful life of the asset for income tax depreciation purposes (as per the Tax Depreciation Rates Determinations issued by IR).

A person can choose either method (a) or (b). However, once they have chosen a method, they cannot subsequently change it. A final adjustment is to be effected when the commodity is disposed of (or is treated as having been disposed of). See below at "Treatment on disposal".

Section [21G\(4\)](#) sets out the maximum number of adjustment periods required for apportioning input tax. Section [21G\(7B\)](#) clarifies that a person must make a final apportionment of input tax when goods or services are disposed of during an adjustment period. The current adjustment period is treated as the final adjustment period ending immediately before the date of disposal.

Take note that (a)(i) and (a)(ii) above do not apply to the supply of land.

Treatment on disposal — s 21F

This section provides that if a registered person disposes of, or is treated as disposing of, goods or services in the course of a taxable activity and has not claimed a full deduction, they may be able to claim an additional amount.

The broad effect is to allow a final adjustment to be calculated as a percentage of the consideration received for the supply made by the registered person (rather than the consideration paid by that person when they acquired the commodity). This is consistent with the taxable status (and possible output tax impost) of the supply made by the GST-registered person.

The formula for calculating the final adjustment is:

$$\text{tax fraction} \times \text{consideration} \times (1 - \text{previous use})$$

Example:

Carla buys a car for \$46,000 (inclusive of \$6,000 GST). She claims 70% input tax of \$4,200.

The car is later sold for \$34,500 (GST inclusive). The sale of the car is in the course of her taxable activity, so the full sale amount is subject to GST. Carla returns \$4,500 as output tax (sales). Carla's final use of the car on sale is 100% taxable.

As Carla has not claimed for full business use of the car, she makes a final adjustment calculated as follows:

Carla works out the tax fraction of \$34,500 (3/23) as \$4,500 and multiplies this by her private use (30% or 0.3). Carla can claim an additional adjustment for \$1,350.

$$3/23 \times \$34,500 \times (1 - 0.7) = \$1,350$$

Carla includes the full \$34,500 as sales and income in her GST return, and in her purchases and expenses, she includes a credit adjustment of \$1,350.

The original limitation on the additional amount of input tax that is able to be claimed on disposal has been removed, except for land disposed of by a property developer that is using the land in their taxable activity.

For zero-rate land, or a zero-rated going concern, cumulative deductions cannot exceed the amount of the full input tax deduction. That is the total of all credits (amount of input tax claimed plus subsequent adjustments including the final adjustment) is capped at the quantum of the original full input tax.

If the disposal to which s 21F applies is of land that a property developer uses in the course or furtherance of their taxable activity of developing land (such as erecting new buildings, renovating existing buildings or other improvements) or dividing land into lots (such as a subdivision), then the final adjustment is limited to the tax fraction of the price paid when the property developer acquired the land. Amendments to s 21F(6) and insertion of s 21F(6B) clarify that this section also applies to property developers that deal in land or erect buildings.

“Wash-up” calculation — s 21FB

Section 21FB requires taxpayers who have applied the apportionment rules to perform a “wash-up” calculation when their use of an asset changes to 100% taxable or 100% non-taxable.

Taxpayers that change from mixed use to 100% taxable use of an asset can claim the “full input tax deduction” (the total amount of input tax on the supply, after taking into account any nominal GST component chargeable under s 20(3J)(a)(i)) multiplied by the new intended use percentage less the “previous net deductions” (the amount of deduction already claimed, taking into account adjustments made up to the end of the adjustment period following the period in which the use was changed).

From 1 April 2023, the “wash-up” calculation was amended to allow it to be used for any permanent change to a particular fixed percentage use. For example, if a registered person's use of a particular good or service permanently changed to 50% taxable use and they expected this percentage to remain stable for the foreseeable future, they would be able to perform the wash-up calculation. After applying s 21FB, the registered person makes no further adjustments in future adjustment periods unless their actual use changes from their new percentage taxable use of the goods or services.

Note amendments were made to s [21FB](#) to ensure this section applies to assets acquired before 1 April 2023, as long as the relevant permanent change of use adjustment is made in a return for a taxable period starting on or after 1 April 2023.

Once the wash-up calculation has been performed, taxpayers are no longer required to make any ongoing adjustments. To qualify for the wash-up deduction, the taxpayer will need to sustain the 100% taxable or non-taxable use of their asset for the remainder of the adjustment period in which the use changed and the next adjustment period (up to 2 years). The wash-up calculation is done at the end of the second adjustment period.

Example:

John purchases a building that is used 50% for commercial use and 50% as residential apartments. On the basis that the apartments will be leased as dwellings, an input tax deduction of 50% is taken at the time of purchase. After two years, John gives notice to his tenants and signs an agreement with a management company that will operate the apartments as serviced apartments for business travellers.

Serviced apartments are commercial dwellings so the building is now being used solely for making taxable supplies. If the apartments continue to be used solely for making taxable supplies for the remainder of the adjustment period and for the following adjustment period, the balance of the unclaimed input tax deduction can be claimed taking into account any adjustments made leading up to the second adjustment period after the change in use.

Example from *Tax Information Bulletin* [¶267-118 Vol 26, No 7](#), August 2014 at 101.

Concurrent uses of land — s 21E

A special rule deals with situations when a registered person simultaneously uses the same area of land during an adjustment period for making concurrent taxable and non-taxable supplies, such as when land is simultaneously advertised for sale (taxable use) and rented out as a dwelling (non-taxable use).

Section [21E](#) provides formulas to enable taxpayers to calculate the extent to which land is used for making taxable supplies. The taxable supply formula will apply only for the purposes of taking into account exempt or non-taxable supplies.

If the market value of land is not readily ascertainable, a person can use other fair and reasonable methods to provide a reasonable approximation of the market value of the land (s [21E\(6\)](#)).

Where land is used at any time solely for making non-taxable supplies (ie it is removed from sale and permanently rented out as a dwelling) the additional formula in s [21E\(7\)](#) must be applied.

Section [21E](#) does not apply if the Commissioner agrees that the registered person may use another calculation method.

For worked examples of the formulas contained in s [21E](#), refer to *Tax Information Bulletin* [¶231-111 Vol 23, No 1](#), February 2011 at 38.

Transitional rule for dwellings — s 21HB

Due to the changes to the definitions of “dwelling” and “commercial dwelling” some goods or services were treated from 1 April 2011 as being used for making taxable supplies where previously they were exempt.

Examples include some farmstays, homestays and bed-and-breakfast establishments.

If the person was GST registered a one-off adjustment could be made. The person had to treat the goods and services as acquired on 1 April 2011 at the original cost of the supply. The adjustment was reduced by the amount of any input tax claimed under the old apportionment rules.

Note that the rule only applied to accommodation acquired after the introduction of GST on 1 October 1986.

Note also that suppliers affected by the 2011 changes to the definitions of “commercial dwelling” and “dwelling” had the option of not treating the supply of accommodation in a newly defined commercial dwelling

as a taxable supply. This option was not available if the total value of supplies of accommodation in the newly defined commercial dwelling exceeded the \$60,000 registration threshold in s [51](#). This option only applied to newly defined commercial dwellings that were acquired before 1 April 2011.

The transitional rule was amended retrospectively to clarify that it also applied when a property that was previously treated as a dwelling no longer fit into either the definition of “dwelling” or “commercial dwelling” as a result of the changes.

Adjustments when person becomes GST registered after acquiring goods and services — ss 3A(3C), 21B

This section allows a person who registers for GST to claim input tax for goods or services they had acquired before they became GST registered. The input tax deduction that can be claimed may take into account any previous non-taxable use. The person must either provide taxable supply information (before 31 March 2023, a tax invoice) for the supply or have adequate records. For a worked example, refer to *Tax Information Bulletin* [¶231-111 Vol 23, No 1](#), February 2011 at 42.

For a supply of goods and services that have been acquired from an associated person, s [3A\(3C\)](#) provides that the amount of input tax must not be more than the amount accounted for as output tax by the associated supplier of the goods and services.

Section [21B\(1\)\(a\)](#) allows a registered person to claim input tax deductions for imported and/or secondhand goods acquired before registration that are later used as part of their taxable activity. This deduction is available when the person has paid GST on the goods and services under s [8\(1\)](#) or on the import of goods under s [12\(1\)](#).

Both deductions are limited to the “tax charged”, being the tax actually paid by the person when they acquired the goods and services. If the goods and services were acquired when the GST rate was 12.5%, GST at that rate will determine the maximum deduction they can claim. See also s [21B\(5\)](#) and [¶32-686](#).

Note that as a result of changes made to the GST treatment of bodies corporate ([¶32-148](#)), s [21B](#) has been amended to ensure that a unit title body corporate that registers for GST will not be able to make an adjustment under s [21B](#) for goods and services acquired before registration.

From 1 April 2023, the taxable supply information rules apply ([¶32-151](#)) and extend to a partner or partnership who become registered after they acquire goods, including secondhand goods.

Law: GST ss [20\(3C\)](#), [\(3D\)](#), [\(3EB\)](#), [21–21H](#)

Last reviewed on 31 December 2025

GST adjustments for mixed-use assets under the Income Tax Act 2007 [¶32-089]

[¶32-089]

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Note: The mixed-use asset rules are repealed from 1 April 2024. The repeal of ss [20\(3JB\)](#) and [20G](#) has effect from the registered person's first adjustment period beginning on or after 1 April 2024. If, on 31 March 2024, a registered person has begun an adjustment period for a mixed-use asset to which s [20G](#) applies, they will continue to use s [20G](#) until the end of that adjustment period. They will begin to use the ordinary adjustment rules under ss [21](#) and [21A](#) at their first adjustment period beginning on or after 1 April 2024.

Subpart [DG](#) of the IT07 deals with certain mixed-use assets ([¶10-035](#)). These are assets that are partly used for business purposes, partly used for private purposes and partly unused during an income year. The rules apply to land, including buildings, boats and aircraft, although only boats and aircraft with a cost of \$50,000 or more are included. The rules deal with the apportionment of deductions for expenditure incurred on these mixed-use assets. Where an asset is unused for part of a period, the difficulty is whether expenditure incurred during that period relates to the income-earning or private use of the asset. For example, for a holiday home that is rented out part of the time, used by the owners for part of the time and left vacant part of the time, how should expenditure incurred during the time the home is vacant and general repairs and maintenance expenditure be treated. The same issue arose for GST for apportioning between taxable and non-taxable use in these circumstances. Changes were therefore made to the GST Act consistent with those made in the Income Tax Act for mixed-use assets. These changes ensured that asset owners that were registered for GST were able to claim input tax deductions in a similar way as they would be able to claim income tax deductions for the same item.

Sections [20\(3JB\)\(b\)](#) and [20G](#) required adjustments to be made in later periods for any subsequent change of use.

Some GST-specific rules catered for the fact that:

- # GST has always recognised that supplies can be made for below-market value to non-associates
- # an asset will have a GST component that will need to be apportioned over the ownership period (whereas for income tax purposes this would be capital expenditure)
- # some items of expenditure relevant for the income tax calculation are not relevant for GST (such as interest), and
- # GST is not calculated on an annual basis.

Owners of mixed-use assets are required to apportion their input deductions in a way that reflects their relative taxable and non-taxable use of the asset. The formula used for calculating GST deductions in s [20G](#) incorporated the income tax definitions as far as possible (in an attempt to keep the compliance costs down).

The main differences between the income tax and GST definitions related to:

- # the treatment of supplies for less than market value, and
- # what constituted "expenditure".

These differences reflected the different nature of the 2 taxes. The GST formula replaced "expenditure" with "input tax".

Note that for the purposes of s [20G](#), a registered person did not include a widely-held company — s [20G\(8\)](#). A "widely-held company" is defined in s [YA 1](#) of the IT07 as a company that, at the time, has no less than 25 shareholders (treating all associated shareholders as one person), and is not a closely-held company.

Link with apportionment rules

The apportionment rules ([¶32-088](#)) require registered persons to apportion input tax in accordance with the taxable and non-taxable use of the supply. As mixed-use assets are also used partly for private and

partly for business purposes, the apportionment rules also apply to expenditure on these assets. To this end, the definitions used in the apportionment rules — “percentage intended use”, “percentage actual use”, “percentage difference” and “previous actual use” — were extended to apply to the mixed-use asset formula in s [20G](#).

Section [20G](#) apportioned input tax on expenditure that a person incurred in the use of an asset to which s [DG 3](#) of the IT07 applies. The formula apportioned input tax deductions based on the proportion of income-earning days in the GST period relative to the total number of days in the period that the asset was in active use.

As with the general apportionment rules and the formula used for income tax, s [20G](#) required a registered person to perform annual calculations to determine the level to which they could claim input tax deductions. Section [20G](#) then required the registered person to pay any output tax or claim input tax on any positive or negative adjustment produced by the formula.

As with the income tax rules, no apportionment was required for input tax that related solely to the taxable use of an asset and no deduction was available for amounts that related solely to the non-taxable use of the asset.

Applying the formula

One issue specific to GST is that GST is not generally calculated on an annual basis. GST-registered owners of mixed-use assets were therefore required to file returns on a monthly, 2-monthly or 6-monthly basis.

The total income-earning days referred to in the formula in s [20G](#) was the total number of days in the period on which the person supplied the asset for use and derived consideration for the supply, whether at, above or below market value, including days on which:

- # the asset was used to derive income for a particular period and the asset was used during the period solely in the ordinary course of business
- # the asset was being repaired for damage incurred while used to earn income
- # the asset was relocated to earn income and the amount derived from the use of the asset included an amount payable for the cost of relocation
- # the asset had become unavailable for use because another person who had earlier reserved the asset for their own use subsequently did not take advantage of that reservation, or
- # a fringe benefit tax liability arose.

Sections [20\(3JB\)\(b\)](#) and [20G](#) required a person to perform the calculation at the end of an adjustment period, as defined. This was usually an annual period. However, the rules required the registered person to estimate their taxable use of a supply in the intervening periods and calculate their actual taxable use at the end of each adjustment period. This required a comparison between the level of anticipated private use of an asset and the actual private use over an adjustment period (s [20G\(5\)](#)). This wash-up calculation determined the person's true tax position for each of the taxable periods within the adjustment period.

To ease the compliance burden on registered persons, the rules required input tax in the adjustment to be aggregated. Only if the estimate deductions were 10 percentage points or greater than the actual taxable use (or less than 10 percentage points but more than \$1,000) was a wash-up necessary (s [20G\(6\)](#)).

An alternative approach, which ensured greater accuracy but might reduce cash flow, would be for the registered person to delay claiming input deductions in the intervening periods and instead claim their annual entitlement at the end of each adjustment period when the calculation was performed. (Section [20\(3\)](#) allows deductions from output tax to be claimed any time up to the second anniversary of the relevant supply.)

Disposal

Section [20G\(7\)](#) provided that ss [8](#) and [21F](#) applied and the disposal of the relevant asset by a registered person was a taxable supply. This meant that output tax was payable on the disposal and a registered person was able to apply the s [21F](#) formula to claim additional input tax.

Law: GST s [20G](#); IT07 subpart [DG](#)

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